Chargeable gains for companies

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E Corporation tax liabilities

3 Chargeable gains for companies

1. Chargeable gains for companies

Company's capital gains in the accounting period are included in the TTP and are charged to corporation tax.

The calculation of the gain/loss is similar to that of an individual. However, the differences are:

- No annual exempt amount.
- Indexation allowance is a relief for inflation.
- Different matching rules apply for the disposal of shares.
- Companies can only get rollover relief.

2. Computing chargeable gains for companies

Proforma

	£
Gross proceeds	X
Less: incidental costs of disposal	(X)
Net proceeds	X
Less: allowable costs	(X)
Unindexed gain	X
Less: indexation allowance	(X)
Indexed gain	X

2.2 Indexation allowance

The indexation allowance aims to eliminate influences of inflation, ensure that capital gain is taxed on the increase in the real term of an asset's value.

Indexation allowance (IA) = Allowable cost × Indexation factor

Allowable cost:

- Original cost
- Costs of purchase
- Capital expenditure

2.2 Indexation allowance

Indexation factor:

from expenditure happened to earlier of

a) December 2017

b) The months of disposal

If the figure of indexation allowance is bigger than unindexed gain, it **cannot** result in a capital loss, you should treat the indexed gain as **nil**.

Lecture example 1

Delta Ltd sold a factory on 15 November 2025 for £420,000. The factory was purchased on 24 October 1996 for £164,000, and was extended at a cost of £37,000 during March 2021.

Indexation factors are as follows:

October 1996 to December 2017	0.808
October 1996 to November 2025	1.637
March 2021 to November 2025	0.366

Calculate the chargeable gain arising.

Lecture example 2

On 20 May 2005, Ann Ltd purchased an asset for £50,000.

On 20 May 2025, Ann Ltd sold the asset for £70,000.

Ann Ltd prepares accounts to 31 December each year.

Indexation factors are as follows:

May 2005 to December 2017	0.448
May 2005 to May 2025	1.098

What is Ann Ltd's chargeable gain or capital loss for the year ended 31 December 2025?

3. Share for company

Matching rule for company

Shares should be matched in the following order:

- Acquisitions on the same day
- Acquisitions in 9 days prior to sale
- Share pool

3.2 Proforma of share pool for company

Indexed cost = Cost + IA on cost

	No.	Cost £	Indexed cost £
Addition at 200N/N/N	X	X	X
Index to purchase at 201Y/Y/Y			IA_1
Addition 201Y/Y/Y	X	X	X
	A	B	X
Index to disposal at 202Z/Z/Z			IA_2
			D
Disposal at 202Z/Z/Z	**(C)**	**(B÷A×C)**	**(D÷A×C)**
	X	X	X

3. Share for company

Bonus issues

Number of share increases, no change to the cost. No indexation allowance needs to be calculated.

Rights issues

Number of shares increases. Costs change and indexation allowance needs to be calculated.

Takeovers

The rules apply in a similar way for company shareholders as they do for individuals.

Lecture example 3

ABC Ltd bought 1,000 shares in XYZ Ltd for £2,750 in August 1998 and another 1,000 for £3,250 in December 2001. On 2 May 2019 ABC Ltd purchased another 1,500 shares for £4,000.

ABC Ltd purchased 1,000 shares for £4,600 on 5 July 2025.

ABC Ltd sold 3,000 shares on 10 July 2025 for £17,000.

Indexation factors are as follows:

Lecture example 3

August 1998 to December 2001	0.059
December 2001 to December 2017	0.604
December 2001 to May 2019	0.668
December 2001 to July 2025	1.343
May 2019 to July 2025	0.405

Compute the gain and the value of the share pool of the disposal.

4. Rollover relief

Rollover relief is the ONLY capital gains relief that companies can get on replacement of business asset (except goodwill).

The operation of this relief is similar to that for individuals with the calculation of indexation allowance.

4. Rollover relief

Disposal proceeds	X
Less: cost	(X)
Indexation allowance on cost	(X)
Gain	X
Less: rollover relief	(X)
Chargeable gain (taxed now)/amount not reinvested	X

Lecture example 4

Gordon plc sold a freehold office block, which it used in its trade, in September 2017 for £1,250,000. It had cost £700,000 in October 2007. On 1 July 2017, the company had bought a replacement freehold factory for £1,400,000, which it then sold on 1 October 2025 for £1,500,000 without replacing it.

Indexation factors:

October 2007 to September 2017 = 0.343

July 2017 to December 2017 = 0.019

Calculate the chargeable gains arising in the years ended 31 December 2017 and 2025 after claiming rollover relief where appropriate.

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Quizzes(self-practice)

Quiz 1

Lomond Ltd purchased a factory in July 1999 for £300,000, and then spent £100,000 extending the factory in January 2002. The company then sold the factory in December 2025 for £800,000. The relevant indexation factors are as follows:

July 1999 to December 2017	0.684
January 2002 to December 2017	0.605

What will Lomond Ltd's chargeable gain on the factory be?

1.A.£294,800

2.B.£194,800

3.C.£134,300

4.D.£400,000

Quiz 1-A

The correct answer is **C**.

	£	£
Proceeds		800,000
Less: cost	300,000	
Enhancement expenditure	100,000	(400,000)
Unindexed gain		400,000
Less: Indexation allowance		
Cost (300,000 × 0.684)	205,200	
Enhancement expenditure (100,000 × 0.605)	60,500	(265,700)
Chargeable gain		134,300

Quiz 2

ABC Ltd has an accounting reference date of 30 September. On 1 March 2025, ABC Ltd made a disposal of 2,000 quoted shares for £5 a share.
The company's holding of such shares before disposal was acquired as follows:

	Shares Number	Cost £
10 November 2022	2,500	1,900
23 February 2025	500	1,500

Quiz 2

What is the gain arising from the sale in the year ended 30 September 2025?

A.£7,360
B.£8,480
C.£7,733
D.£7,740

Quiz 2-A

The correct answer is **A**.

Gain/loss calculations	**Shares**	**Cost**	**Gain/loss**
	£	£	£
1 March 2025 Sale	2,000		
Shares acquired in previous nine days:		2,500	
Proceeds (1 March 2025) 500 shares × £5			
Cost (23 February 2025)	(500)	(1,500)	
Chargeable gain		1,000	1,000
	1,500		
Shares held in indexed pool:			
Proceeds: 1,500 shares × £5		7,500	
Pool cost (W)	(1,500)	(1,140)	
Chargeable gain		6,360	6,360
Total chargeable gain			7,360

Quiz 2-A

Working Indexed pool*	**Shares**	**Cost**
Purchase 10 November 2022	2,500	1,900
1 March 2025 Sold	(1,500)	
Cost: 1,500/2,500 × £1,900		(1,140)
Pool c/f	1,000	760

*No indexation as purchase after December 2017.

Quiz 3

Which of the following CGT reliefs is available to companies as well as individuals?

A.Business asset disposal relief
B.Rollover relief
C.Investors' relief
D.Gift holdover relief

Quiz 3-A

The correct answer is **B**.
Rollover relief is the only one of these CGT reliefs which is available to companies.



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THANK FOR WATCHING